2009 HSC ECONOMICS

ECONOMIC OBJECTIVE: FULL EMPLOYMENT

To achieve a high level of employment and the most efficient use of Australia's human resources.

1. NATURE OF FULL EMPLOYMENT

Full employment is when everyone who wants a job and is able to work can find suitable employment.

It is not about 0% unemployment (which is not possible or desirable) but about a sustainably low rate of unemployment and efficient use of resources.

2. DIMENSIONS (WHAT IT LOOKS LIKE)

- **LOW UNEMPLOYMENT:** Few people actively seeking work cannot find a job.
- **LOW UNDEREMPLOYMENT:** People who want more hours can find them.
- **HIGH PARTICIPATION RATE:** A high proportion of the working-age population is in the labour force.
- **EFFICIENT USE OF HUMAN RESOURCES:** Skills and abilities are used productively in jobs that match them.

DID YOU KNOW?

The economy has a 'natural rate of unemployment' (around 4–5%) which occurs even in a healthy economy due to people changing jobs, entering the workforce or moving regions.

3. KEY MEASURES – LATEST DATA (MARCH 2026)

Source: ABS Labour Force, Australia (6202.0) – March 2026

Data is seasonally adjusted unless stated.

UNEMPLOYMENT RATE (%)

4.3%

Mar 2026

Down from 4.5% Dec 2025

Long-term average (1978–2026): 6.1%



UNDEREMPLOYMENT RATE (%)

5.9%

Mar 2026

Down from 6.1% Dec 2025

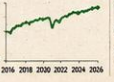


PARTICIPATION RATE (%)

66.8%

Mar 2026

Up from 66.6% Dec 2025



EMPLOYMENT (million people)

14.77m

Mar 2026

Up 31,100 from Dec 2025

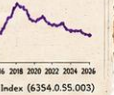


JOB VACANCIES (online job ads)*

214,800

Mar 2026

Down from 222,800 Dec 2025



*Source: ABS, Internet Vacancy Index (6354.0.55.003)

4. POLICIES THAT HELP ACHIEVE FULL EMPLOYMENT

MONETARY POLICY (RBA)

- Lower interest rates to encourage borrowing, investment and spending.
- Supports businesses to expand and hire more workers.

FISCAL POLICY (GOVERNMENT)

- Increase government spending on infrastructure, health, education etc.
- Tax cuts or transfers increase household spending.
- Aims to boost aggregate demand and jobs.

SUPPLY-SIDE POLICIES

- Improve education and training to lift skills.
- Increase labour market flexibility (e.g. workplace relations).
- Reduce barriers to labour force participation (childcare, mobility, health).

OTHER FACTORS

- Strong economic growth
- Business confidence
- Technological change
- Global demand
- Population growth



REMEMBER!

Full employment is about QUALITY as well as QUANTITY of jobs – people should have productive, fairly paid work.

High employment = more income, greater living standards and better use of our nation's talents and resources.

5. HOW TO EVALUATE THE SUCCESS OF POLICIES IN ACHIEVING FULL EMPLOYMENT – A STEP-BY-STEP GUIDE

GOOD JOBS!
STRONG ECONOMY



1 IDENTIFY THE OBJECTIVE

Full employment – a high level of employment and efficient use of resources.

2 IDENTIFY THE RELEVANT INDICATORS

Use the key measures on the left and look at both the level and the trend.

3 ANALYSE THE EVIDENCE

- Are unemployment & underemployment low?
- Is participation high or rising?
- Are more people working compared to last period?
- Are job vacancies increasing or falling?
- Are jobs of good quality and well matched to skills?

4 WEIGH UP TRADE-OFFS & SIDE EFFECTS

- Expansionary policies may lift employment but cause higher inflation.
- Budget deficits may rise with fiscal stimulus.
- Supply-side policies take time to improve skills and participation.

5 MAKE A JUDGEMENT

Overall, how successful have policies been in achieving full employment? Consider evidence, trade-offs, time period and the context.

6 CONCLUSION

State a clear judgement with reasons.

EXAMPLE: RECENT CONTEXT

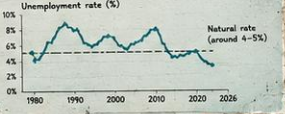
- Inflation has eased to 2.9% (trimmed mean, Mar 2026) – back within the target band.
- The RBA eased the cash rate to 4.35% in May 2026, supporting economic activity and jobs.
- Employment has grown, but productivity remains weak.
- Some groups still face higher unemployment (young people, some regional areas, long-term unemployed).

Policies need to keep supporting jobs while lifting productivity and skills.

WHAT ABOUT NATURAL RATE?

Even when doing well, Australia is likely to have around 4–5% unemployment – this is the natural rate.

If unemployment is persistently above this, there is spare capacity in the economy.



6. CURRENT CONTEXT – WHY IT MATTERS

- Global conditions remain uncertain, but Australia's economy has proved resilient.
- Population growth and higher participation are increasing the size of the workforce.
- Labour shortages exist in some industries (health, engineering, trades, aged care).
- Skills mismatches mean some people can't find work while vacancies remain.
- Encouraging training, mobility and innovation helps us use human resources more efficiently.

KEY TAKEAWAY

Full employment is best achieved when unemployment and underemployment are low, participation is high and our workforce is used productively.

Use the data, consider the context and look at the trade-offs to decide if economic policies are successful in achieving this important objective.

EVALUATE – DON'T JUST DESCRIBE!

- ✓ Look at the trend, not just the number.
- ✓ Consider both benefits and costs.
- ✓ Use evidence and make a judgement.

JOBS GROWTH OPPORTUNITY

